

Pessimism is a bet against human ingenuity, and for half a million years, that has been a losing wager.

Rather than define investing as the science of generating a return on capital, I prefer to consider our *behavior* when we interact with money; how financial desire impacts our decision-making abilities; what risks we embrace, how we think about wealth, and what emotional pain we willingly suffer in order to generate a return on capital.

Every study of *behavior* looks at how we solve problems. If this entire endeavor is a problem-solving exercise, then for us to become better investors, we must learn how to make better decisions.

I have learned that the skills needed to be a better investor—to be “less stupid”—are similar to the skills and judgment we need to make better decisions in so many other areas. This affects every aspect of your life—who your spouse is, how successful your career will be, your healthcare outcomes, even how fulfilling your relationships are. Good decision-making leads to increased happiness, greater life satisfaction, and perhaps even becoming the best person you can be.

Too much woo? I am not suggesting that you have to be a great investor in order to have a good life; rather, I want you to think about the skill sets that go into investing and how transferable they are to so much of what you do outside of the world of money.



The more you contemplate it, the more you realize investing is a massive problem-solving exercise. The best at it are intellectually flexible; they approach their craft as a discipline, and focus on process. They understand *probability theory* and view mistakes as learning opportunities. They use mental models and engage in second-order thinking; they use counterfactuals; they have good information hygiene. They possess a high level of self-awareness regarding their own psychological states. They